The war is now a cost line

Two of the world's three major maritime chokepoints are contested at once. Oil is trading near $105 a barrel. Pakistan's own pump price has moved five times in the past twelve days. This briefing sets out what is documented, what is genuinely uncertain, and what a procurement function can do about it.

> Diesel in Pakistan rose roughly 11.5 per cent between 5 and 17 September alone. That is not background noise. For a buyer of raw materials, components and fuel, it is already inside the cost base.

1	The situation, in one page — two chokepoints, one war
2	What it is already doing to the numbers — oil, freight, and the pump price at home
3	Reading conflicting signals — why the forecasts disagree, and how to weigh them
4	Where this reaches Utopia Industries — three channels, not one
5	What a procurement function can actually do about it
6	Sources, and how this was prepared
	Two summary pages sized for sharing with the team

Figures below are dated individually and drawn from SIPRI-adjacent shipping analysts, Reuters, Al Jazeera, CNN, and Pakistan's Oil and Gas Regulatory Authority (OGRA) notifications. This is a live conflict — treat every figure as a snapshot, not a forecast, and recheck the primary sources on page 6 before using a number in a supplier negotiation.

Section one

The situation, in one page

Since 28 February 2026 the United States and Israel have been at war with Iran. Two consequences of that war now sit directly across the world's main east–west trade routes.

D The Strait of Hormuz is effectively closed

Traffic through Hormuz — the route for roughly a fifth of the world's seaborne oil trade in peacetime — has collapsed from over 100 vessels a day to somewhere between 5 and 12. The International Energy Agency has characterised it as the largest supply disruption in the history of the global oil market. As of 11 September, Brent crude was trading at $104.61 and WTI at $100.05.

D The Red Sea's other chokepoint moved this week

Houthi forces have seized Perim Island, which sits at the narrowest point of the Bab el-Mandeb Strait at the southern mouth of the Red Sea, days after a strike on a major Saudi oil pipeline. This lands at an awkward moment: Sea Intelligence estimates that more than a quarter of Asia–Europe container capacity had returned to Red Sea routings this September, the most meaningful normalisation since the original 2023–25 disruption. Many shippers who diverted around the Cape of Good Hope during that period never came back at all — so the return now underway was already partial, and this week's escalation is a live threat to it, not a settled fact.

I Read together, these are two separate but reinforcing shocks

Hormuz is an energy-price shock — it constrains how much oil and gas physically reaches the market. Bab el-Mandeb is a routing shock — it constrains which ships will take the shorter path and at what insurance cost. A buyer exposed to global energy pricing feels the first regardless of which port their own cargo touches. A buyer moving physical freight through the Red Sea or Suez feels the second directly. Many industrial buyers, Utopia likely included, feel both at once.

Section two

What it is already doing to the numbers

Oil

Brent has moved from roughly $70 a barrel in July to $104.61 as of 11 September — a rise of about 50 per cent in ten weeks. Published institutional forecasts for where it goes next split sharply: a Reuters poll of analysts averages $134.62 with scenarios reaching $200 if Iranian export infrastructure at Kharg Island is struck, while other houses model a fall toward $85 if disruption proves temporary or demand weakens. That gap — not a typo, a genuine disagreement between serious institutions — is itself informative, and section three explains why.

Pakistan's own pump price

The Oil and Gas Regulatory Authority moved from weekly to near-daily price reviews this year specifically to track international crude movements more closely. The effect of that closer tracking is visible in a single fortnight:

OGRA notified retail prices, September 2026. Diesel is the figure that matters most for freight — it is what moves the trucks.

Date	Petrol (PKR/litre)	Diesel (PKR/litre)
5 September	345.87	378.05
8 September	358.77	381.77
11 September	370.80	398.04
15 September	380.24	409.42
17 September	**391.22 (+13.1%)**	**421.45 (+11.5%)**

> **D Diesel is up roughly 11.5 per cent in twelve days**
>
> From Rs 378.05 to Rs 421.45 a litre between 5 and 17 September, in five separate revisions. OGRA's own notifications attribute the mechanism directly to global crude and import-cost volatility. Diesel powers most of Pakistan's goods transport, so this is not a consumer story — it is an inbound and outbound freight cost that lands on whoever is paying the trucking bill, negotiated or not.

Freight routing

For cargo still diverting around the Cape of Good Hope rather than through Suez, the added transit time is substantial and fairly consistent across Asia–Europe lanes:

Illustrative transit-time impact, Asia–Europe and Gulf–Europe lanes. General shipping-industry data, not Utopia-specific — see the note in section four.

Route	Pre-crisis transit	Via Cape (2026)	Added days
Shanghai → Rotterdam	28–32 days	38–46 days	+10–14
Mumbai → Rotterdam	18–22 days	28–32 days	+10
Jeddah → Rotterdam	10–12 days	22–26 days	+12–14

Route	Pre-crisis transit	Via Cape (2026)	Added days
Singapore → Genoa	16–20 days	26–32 days	+10–12

Section three

Reading conflicting signals

Anyone tracking this for the next few months will hit contradictory numbers constantly — a forecast of $200 oil next to one of $85, a report that shipping is "returning to normal" next to one saying a chokepoint was just seized. That is not a sign the information is unreliable. It is a sign the outcome is genuinely undetermined, and the discipline that matters is telling apart three different kinds of claim.

D **Documented**	An actual reading, price, or notification with a named source and a date — the OGRA table above, the 11 September Brent print, Sea Intelligence's capacity estimate. Not in dispute; only its *implication* is arguable.
I **Inferred**	A forecast, scenario, or trend projection built on documented facts — the $85–$200 Brent range, "the return to Suez is fragile." Reasonable people read the same facts differently; that is expected, not a red flag.
U **Unsupported**	A ceasefire rumour, a "shipping is back to normal" claim, or a WhatsApp forward with no named source or date attached. This is the category to filter out before it reaches a costing decision.

Practically: when a forwarder, a supplier, or a headline gives you a number, ask what kind of claim it is before acting on it. A quoted bunker surcharge tied to today's Brent print is documented. A forwarder's assurance that "the Red Sea will be fine by next month" is, at best, inferred — and worth pricing accordingly rather than building a plan around.

Section four

Where this reaches Utopia Industries

This section is built around the procurement mix flagged for this briefing — raw materials and commodities, industrial components, and energy and fuel — without a single confirmed sourcing corridor. On that basis, three channels apply rather than one, and probably in combination.

1. **Freight and routing.** Any inbound cargo still moving by sea from the Far East, South Asia, or the Gulf carries exposure to the Suez/Red Sea situation directly — either through longer Cape transit times if a carrier diverts, or through war-risk insurance premiums if it doesn't. The transit-time table in section two is the general shape of that exposure; the actual figure depends on which ports and carriers are in use.

2. **Energy and fuel, direct and indirect.** Any imported fuel or energy input is priced off the same international benchmarks moving in section two. Just as importantly, the domestic diesel price increase applies to inbound and outbound trucking regardless of what a company imports or from where — it is an unavoidable cost, already up roughly 11.5 per cent this month alone.

3. **Commodity and component pricing generally.** Raw materials and industrial inputs priced internationally typically carry an embedded energy and transport cost. A sustained oil shock feeds into that pricing with a lag of weeks to months, even for inputs with no obvious connection to the Middle East.

What would sharpen this

This is the general channel map for a mixed-input industrial buyer. If Utopia's actual import lanes, top suppliers by spend, or approximate freight/energy share of landed cost were available, channel one and two above could be replaced with real exposure figures rather than illustrative ones. Worth doing before this goes into a formal risk register.

Section five

What a procurement function can actually do about it

1. **Ask forwarders for the bunker adjustment mechanism, not just the surcharge.** A fuel surcharge tied transparently to a published index (Brent, or a bunker fuel index) is something you can audit and forecast. A flat "war risk surcharge" quoted without a formula is a number you should push back on.

2. **Get the war-risk insurance line itemised separately from freight.** It moves on different triggers — a specific chokepoint escalation, not general freight demand — and bundled quotes make it impossible to tell whether a rate rise reflects real risk or general repricing.

3. **Build a two-line watch sheet, not a news habit.** One line for a documented figure (this fortnight's OGRA diesel price, the current Brent print) and one for the single most consequential inferred claim in play (is the Bab el-Mandeb advance still live). Five minutes a week beats reacting to whichever headline arrives first.

4. **Where substitutable, avoid single-chokepoint dependency.** A second supplier or route that does not share Hormuz or Bab el-Mandeb exposure is worth a modest premium if the primary lane is carrying both freight and energy risk at once.

5. **Extend lead-time buffers on the least substitutable inputs before the delay shows up as a stockout.** The transit-time table in section two is +10 to +14 days for cargo still diverting via the Cape — plan against that number for anything single-sourced.

6. **Say the number out loud internally before it is forced on you.** A diesel line that has moved 11.5 per cent in two weeks is easier to plan around if production and finance hear it from procurement now, framed with the evidence behind it, than if it turns up unexplained in next month's landed-cost report.

Section six

Sources, and how this was prepared

1. Wikipedia, *2026 Strait of Hormuz crisis* and *2026 Iran war fuel crisis* — timeline, IEA characterisation, and Brent price history since February 2026.
2. DiscoveryAlert, *US-Iran War Oil Prices: $140 or $85?*, 13 September 2026 — Brent $104.61 / WTI $100.05 as of 11 September; Hormuz traffic down 95%; institutional forecast range.
3. FreightWaves, *Houthi gains deepen risk as carriers restore Red Sea services*, 15 September 2026 — Perim Island seizure, Saudi pipeline strike, Sea Intelligence Red Sea capacity estimate.
4. Al Jazeera, *Red Sea nations watch as Houthis seize Bab al-Mandeb strait*, 13 September 2026.
5. Suaid Global, *Red Sea Shipping Crisis 2026: Impact on Your Supply Chain*, reviewed 13 July 2026 — route-by-route transit-time table.
6. Pakistan Oil and Gas Regulatory Authority notifications as reported by TechX Pakistan and Bloom Pakistan, 5–17 September 2026 — petrol and diesel retail price series.
7. Al Jazeera, *Oil prices jump as US and Iran trade attacks over Strait of Hormuz*, 13 July 2026 — Pakistan retail fuel pricing tied explicitly to renewed US–Iran hostilities.

How this was prepared

This briefing was commissioned and directed by Bilal Ahmed Khan, Procurement Manager at Utopia Industries Pakistan, to inform the procurement team's view of Middle East war exposure. It was drafted by Claude, an AI system made by Anthropic, from the sources above. Every figure carries an evidence grade for exactly this reason: so the team can weigh each claim on its own footing rather than take the document on trust. Given the pace of events, recheck the primary sources before using any figure in a live negotiation.

For the team — the headline numbers

−95%

Strait of Hormuz vessel traffic, since the 2026 Iran war began — from over 100 ships a day to single digits.

$104.61

Brent crude, 11 September 2026 — up from roughly $70 in July. Forecasts split as low as $85 and as high as $200.

+11.5%

Pakistan diesel price, 5–17 September alone — five OGRA revisions in twelve days.

The war is now a cost line — an internal risk briefing prepared for Bilal Ahmed Khan, Procurement Manager, Utopia Industries Pakistan. 17 September 2026.

Six moves, none of them waiting for the war to end.

- **Index the surcharge.** Ask for the formula behind every fuel-linked freight charge, not just the number.
- **Split the insurance line.** War-risk premiums move on different triggers than general freight — don't let them hide inside one price.
- **Watch two numbers a week.** This fortnight's diesel price, and whether Bab el-Mandeb is still contested.
- **Avoid single-chokepoint sourcing** where a substitute exists, even at a modest premium.
- **Extend buffers** on single-sourced inputs by the 10–14 days a Cape diversion actually costs.

Drafted by Claude (Anthropic) from public sources listed in the full briefing; commissioned and directed by Bilal Ahmed Khan. Figures are time-sensitive — recheck before quoting in a negotiation.